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March 13, 2019

Via: FedEx and E-mail

Mrs. Rachel E. Dickon, Secretary
Office of the Secretary
Federal Maritime Commission
800 North Capitol Street, N.W.
Washington, D.C. 20753
E-mail: secretary@fmc.gov

Re: FMC Docket # 19-02

Dear Ms. Dickon,

Please find enclosed the Puerto Rico Ports Authority's Motion to Dismiss Toyota de Puerto Rico Corp.'s Verified Complaint. I have enclosed an original and five (5) copies.

If you or anyone on your staff believes that I can be of any assistance, please feel free to contact me at any time.

Sincerely,


Thomas Trebilcock-Horan

**BEFORE THE
FEDERAL MARITIME COMMISSION**

TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

MOTION TO DISMISS

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the "PRPA"), through its undersigned counsel, and respectfully states and requests as follows:

Pursuant to Federal Maritime Commission Rule of Practice and Procedure 70 (46 C.F.R. § 502.70) ("FMC Rule"), PRPA very respectfully moves to dismiss the Verified Complaint filed by Toyota de Puerto Rico ("Toyota") on December 20, 2018. In support of its request, PRPA very respectfully states as follows:

I. Introduction

The Verified Complaint alleged that PRPA and the co-respondents violated several provisions of the Shipping Act of 1984, as amended ("Shipping Act") in connection with the collection of an Enhanced Security Fee ("ESF") from Toyota with respect to motor vehicles which Toyota transported to Puerto Rico during the years 2012 through 2017.

II. Legal Standard

FMC Rules 12 and 69(g) (46 C.F.R. §§ 502.12 and 502.70) allow for the filing of a motion to dismiss pursuant to the Federal Rules of Civil Procedure (“Fed. R. Civ. P.”).

In rendering a decision on a motion to dismiss for lack of subject matter jurisdiction pursuant to Fed. R. C. P. 12(b)(1), this Commission must presume all undisputed factual allegations to be true and must construe all reasonable inferences in favor of the claimant. *Scheuer v. Rhodes*, 416 U.S. 232, 236 (1974). When considering a motion to dismiss pursuant to Fed. R. Civ. P. 12(b)(6) for failure to state a claim, the Court (here the Commission) “accept[s] as true all well-pleaded allegations in the complaint and draw all reasonable inferences therefrom in the pleader’s favor.” *Rodríguez-Reyes v. Molina-Rodríguez*, 711 F.3d 49, 53 (1st Cir. 2013). However, to survive a Fed. R. Civ. P. 12(b)(6) motion to dismiss, a complaint (or statement of claim) must contain sufficient factual matter to state a claim to relief that is plausible on its face. *Bell Atl. Corp. v. Tomboy*, 550 U.S. 544, 570 (2007). Under Fed. R. Civ. P. 12(b)(1), as opposed to the standard under Fed. R. Civ. P. 12(b)(6), the court may consider documents outside the pleadings, such as exhibits and affidavits attached to the motion to dismiss, and the opposition. *Gonzalez v. U.S.A.*, 284 F.3d 281, 288 (1st Cir. 2002).

III. Relevant Facts Plead in the Verified Complaint, Law and Case Law

1. Toyota alleges that PRPA, Crowley Puerto Rico Services, Inc. (“Crowley”) and Oceanic General Agency Inc. have violated Section 11 of the Shipping Act, 46 U.S.C. § 41102(c). (*See*, Verified Complaint at ¶ 1.) Specifically, Toyota argues that charging the ESF violates the Shipping Act’s “prohibitions against undue, unfair, unjust and unreasonable discriminatory and prejudicial practices that apply to maritime terminal operators and common carriers.” (*Id.* at ¶ 3.)

2. In the year 2008, the Legislative Assembly of Puerto Rico enacted Act 12-2008, known as the Law to Establish the Public Policy in the Area of the Puerto Rico Ports (“Act 12-2008”). 23 P.R.

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Laws Ann. §§ 3221 *et seq.* (*Id.* at ¶ 3.) Said Act required the scanning and imaging of all inbound cargo arriving at the Port of San Juan.

3. PRPA established the ESF to “recover all costs incurred in providing, repairing and maintaining that scanning system.” (*Id.* at ¶ 3.) *See also De Mercadeo v. Vázquez*, No. Civ. 11-1978 BJM, 2013 WL 5652076 at 3 (D.P.R. Oct. 16, 2013), *aff’d sub nom Industria y Distribución de Alimentos v. Trailer Bridge*, 797 F.3d 141, 144 (1st Cir. 2015).

4. PRPA charges “shipping operators” the ESF. (*Id.* at ¶¶ 20 and 34.) *See also Industria y Distribución de Alimentos v. Trailer Bridge, Supra.*

5. Crowley and Oceanic invoiced Toyota for the ESF. (*Id.* at ¶ 29.) “Crowley and Oceanic charged ESF to shippers of all types, irrespective of whether there were scanning facilities at their terminals. This was the normal, customary and continuous practice until 2017, and impacted Toyota as a shipper.” (*Id.* at ¶ 36.)

6. The First Circuit Court of Appeals deemed the ESF a payment for legitimate services, which was relevant to the operation of the San Juan Port. *Industria y Distribución de Alimentos v. Trailer Bridge*, 797 F.3d at 147-48.

IV. Arguments in Support of Dismissal

(A) Toyota Lacks Standing

Article III of the United States Constitution confines jurisdiction to cases and controversies. U.S. Const. art III sec. 2. “At its core, the standing doctrine seeks to have the proper party before the Court to avoid wasting judicial resources on speculative actions.” *Puerto Rico Pub. Hous. Admin. v. U.S. Dept. of Hous. & Urb. Dev.*, 59 F. Supp. 2d 310, 319 (D.P.R. 1999). “Courts must consider the threshold issue of standing at the outset...”, “before delving into the merits.” *Humanistas Seculares de Puerto Rico v. Camara de Representantes de Puerto Rico*, No. CV 17-1298 (PAD), 2017 WL

1327635, at *2 (D.P.R. Apr. 7, 2017) (citing *Gianfrancesco v. Town of Wrentham*, 712 F3d 634, 638 (1st Cir. 2013)).

In *Lujan v. Defs. of Wildlife*, 504 U.S. 555, 560 (1992), the United States Supreme Court held that where “plaintiff’s asserted injury arises from the government’s allegedly unlawful regulation (or lack of regulation) of *someone else*, **much more is needed[,]**” to satisfy the standing requirements. *Id* (emphasis added). In such cases, “[p]laintiffs cannot rely on speculation about ‘the unfettered choices made by independent actors not before the court.’” *Clapper v. Amnesty Int’l USA*, 568 U.S. 398, 414, FN 5 (2013) (quoting *Lujan* 504 U.S., at 562). The plaintiff (like claimant here) must adduce facts showing “that those choices have been or will be made in such manner as to produce causation and permit redressability of injury.” *Lujan* 504 U.S., at 562. Although standing is not automatically precluded in these cases, “it is ordinarily ‘substantially more difficult’ to establish.” *Id* (quoting *Allen v. Wright*, 468 U.S. 737, 758 (1984)). Toyota has not met that burden.

The fact is that PRPA charges the “shipping operators” the ESF, not shippers such as Toyota. And, while Toyota tries to insinuate that Crowley and Oceanic are “acting as collection agents for PRPA,” the Commission should not accept such “meager, vague, or conclusory allegations.” *SEC v. Tambone*, 597 F.3d 436, 442 (1st Cir. 2012). As explained in *Penalbert-Rosa v. Fortuño-Burset*, 631 F.3d 592 (1st Cir. 2011), “some allegations, while not stating legal conclusions, are nevertheless so threadbare or speculative that they fail to cross ‘the line between conclusory and the factual.’” *Id.* at 595. Note that the “general allegations found inadequate in *Iqbal* were themselves ‘factual’ assertions but highly general and made without offering any detail.” *Pruell v. Caritas Christi*, 678 F.3d 10, 13 (1st Cir. 2012).

That said, whether Crowely and/or Oceanic chose to charge Toyota the ESF was an independent decision, which courts have respected. As a matter of example, in 2016, the Court in *Air Transport Assn. of Am., Inc. v. Jordan*, 3:16-CV-00230-HZ, 2016 WL 9000276 (D. Or. 2016), dismissed a case almost identical to the instant matter. The City of Portland imposed a fee on the Port of Portland, who operates the Portland International Airport. The Port of Portland, in turn, decided to pass on the fee to airlines. The Air Transport Association of America (“ATAA”), an industry group that represents airline companies, sued on behalf of its members.

ATAA brought action against the City asserting that its Fee, charged to the Port and *passed on* to the Airlines, violated the Federal Aviation Act. The City, like PRPA here, moved to dismiss for lack of constitutional standing. It argued that it did not bill the Airlines for the Fees, rather the Port, who then billed the Airlines. Therefore, ATAA’s alleged harm was not caused by the City, but rather the Port’s independent decision to recover from the Airlines a portion of the Fees paid by it. The Court agreed. This factual scenario mirrors that of Toyota here.

In dismissing the case, the Court noted that the Port “has the independent ability to decide how to pay the City’s Fee.” *Id.*, at 5. It could have chosen to pay the Fees from several alternative revenue sources, but independently decided to pass along a portion of the Fees to the Airlines as an operating cost of the airport. That’s equally true for the “shipping operators” in this matter. This independent decision “interrupts the chain of causation” that ATAA (and Toyota here) had to establish to bring the claim. *Id.* The Court also pointed out that the City did not control how the Port paid the Fees, nor had a remedy against the Airlines if the Fees were not paid, because there was no legal or regulatory relationship between the City and the Airlines. *Id.*, at 6. This is also true

here, where PRPA cannot force Toyota to pay it ESFs or to pay its shipping operators any administrative fees.

Further, in *Haile v. Town of Addison*, 264 F. Supp. 2d 464 (N.D. Tex. 2003), the court also reached a similar conclusion, where individual fuel purchasers challenged a fuel fee that was passed on to them by the permit holders that actually paid the fee. The Court held that *Haile* did not “provide the court with information that the complained of injury is not the result of the independent action of third parties not before the Court, such as permit holders, who independently set the prices they charge for aviation fuel.” *Id.*

Courts have routinely reached similar conclusions when third parties challenge tax impositions not directly assessed upon them. See *Emerald Int'l Corp. v. United States*, 54 Fed. Cl. 674 (2002), *dismissed*, 60 F. App'x 808 (Fed. Cir. 2003) (holding that plaintiff had no standing to challenge a coal tax that was not imposed upon it, but upon the coal producers). In *Emerald*, despite the plaintiff's argument that it was foreseeable that coal producers would pass their tax costs onto it, the court held that the plaintiff lacked standing because “there was no statutory or regulatory obligation for the producers to pass the tax along to plaintiff, nor, certainly, any requirement that plaintiff agree to transactions specifically including the tax.” 54 Fed. Cl. at 680. The court explained, “[f]or standing purposes, the mere existence of such discretion, no matter how it is exercised in a particular situation, breaks the requisite chain of causation between the imposition of the tax and any economic harm in the form of higher costs suffered by the purchaser thereof.” *Id.* at 681-82. As in *Emerald*, “fatal to plaintiff[s'] pursuit of standing—is that the [shipping operators] had a choice whether to pass along or absorb” the ESFs. *Id.* at 682 (emphasis added). See also *Muhammed v. United States*, 43 Fed. Cl. 742, 746 (1999) (dismissing claims by a

wholesale distributor of fuel for taxes collected as part of the price charged by its supplier, which were then remitted to the government).

Toyota's "collection agent" theory is flawed, since PRPA has not delegated any authority to anyone to collect ESFs on its behalf. Whatever charges the "shipping operators" bill to shippers like Toyota are part of their operating costs, plain and simple. Thus, Toyota lacks standing and its Verified Complaint should be dismissed pursuant to Fed. R. Civ. P. 12(b)(1)

B. The Commission Lacks Jurisdiction under 46 U.S.C. § 41102(c)

Toyota alleges that PRPA violated § 41102(c), which provides that "a common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices related to or connected with receiving, handling, storing, or delivering property." *Id.* In this specific case, PRPA is not deemed a "marine terminal operator" as it relates to Toyota, since Crowley and Oceanic have clearly established that they **are not common carriers** within the definition of Shipping Act. *See*, Oceanic's Motion to Dismiss for Lack of Personal and Subject Matter Jurisdiction and Subject Matter Jurisdiction; and, Crowley's Memorandum of Points and Authorities in Support of Respondent Crowley [] Motion to Dismiss and/or for Summary Judgment.

Note that the Shipping Act defines "marine terminal operator" as the "person engaged in the United States in the business of providing wharfage, dock, warehouse, and other terminal facilities in connection **with a common carrier**, or in connection **with a common carrier and a water carrier...**" 46 U.S.C. § 40102(15)(Emphasis added). Under both scenarios, a "common carrier" must be involved in the shipping process. Meanwhile, a "common carrier" must be transporting "cargo between the United States and a foreign country for compensation." 46 U.S.C. § 40102(7).

In this case, Toyota made no attempt whatsoever to show how and/or why Crowley and Oceanic could be deemed “common carriers.” All Toyota did was make a bold assertion at ¶ 48 of the Verified Complaint that they transported vehicles from foreign ports, including Veracruz, Mexico and Toyihashi, Japan, and ports of the United States and Puerto Rico. (*Id.*) Such bold assertions need not be accepted by the Commission without more. Note that both Crowley and Oceanic have denied transporting any Toyota cargo (relevant to this matter) from a foreign country. *See*, Oceanic’s Motion to Dismiss for Lack of Personal and Subject Matter Jurisdiction and Subject Matter Jurisdiction; and, Crowley’s Memorandum of Points and Authorities in Support of Respondent Crowley [] Motion to Dismiss and/or for Summary Judgment.

In sum, mere bold assertions regarding a foreign country commerce link are insufficient under *Twombly* and *Iqbal*. Thus, the Verified Complaint should be dismissed for lack of subject matter jurisdiction under Fed.R.Civ.P. 12(b)(1).

III. Time Barred Claims

Toyota seeks redress in the amount of \$1,166,952.59, related to ESF charges allegedly imposed between the years 2012 to 2017. (*See*, Verified Complaint at ¶ 28.) And, it appears from the Commission’s docketing system that Toyota filed its Verified Complaint on December 20, 2018. Pursuant to 46 U.S.C. § 41301(a), the statute of limitations for filing a claim seeking redress before the Commission is three (3) years. (*Id.*) Thus, any ESF charges imposed prior to December 20, 2015 should be deemed time barred and dismissed pursuant to Fed. R. Civ. P. 12(b)(1) and (6).

IV. PRPA is an arm of the state with sovereign immunity

Additionally, even if the Commission were to rule that Toyota has standing to pursue its claims, it would still lack a viable claim for damages against PRPA since the latter is deemed an arm of the state cloaked with sovereign immunity. Specifically, it is an arm of the state for purposes

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of the cargo scanning program mandated by Law No. 12 of February 18, 2008, 23 P.R. Laws Ann. §§ 3221 *et seq.*, which causes the imposition of the ESF challenged by Toyota. Besides its proprietary functions, post-2008, PRPA was tasked with new governmental functions, specifically with implementing a program focused on strengthening national security and increasing the Commonwealth's ability to thwart tax evasion. These are the quintessential functions of any sovereign or one of its arms. PRPA's hybrid entity status – a matter of first impression which is currently on appeal before the Federal Court of Appeals for the First Circuit -- shields it from legal actions that precisely target its governmental functions.

The Eleventh Amendment to the United States Constitution provides that “[t]he Judicial power of the United States shall not be construed to extend to any suit in law or equity, commenced or prosecuted against one of the United States by Citizens of another State, or by Citizens or Subjects of any Foreign State.” *U.S. Const. amend. XI*. Puerto Rico has long been considered a state for Eleventh Amendment purposes. *See Irizarry—Mora v. Univ. of Puerto Rico*, 647 F.3d 9 (1st Cir. 2011); *Metcalf & Eddy, Inc. v. P.R. Aqueduct & Sewer Auth.*, 991 F.2d 935 (1st Cir. 1993). This immunity is also enjoyed by “entities that are determined to be arms of the Commonwealth.” *See Pastrana-Torres v. Corporacion de P.R. Para La Difusion Publica*, 460 F.3d 124, 126 (1st Cir. 2006).

Throughout the years, PRPA's arm-of-the-state status has been inconsistent. It has been afforded Eleventh Amendment immunity in some cases,¹ while not in others.² In 2016, the First Circuit addressed the issue again. *See Grajales v. Puerto Rico Port Authority*, 831 F.3d 11 (1st Cir.

¹ *See P.R. Port. Auth. v. M/V Manhattan Prince*, 897 F.2d 1 (1st Cir. 1990). (holding that that PRPA performed a governmental function rather than a proprietary one as it related to its duty licensing pilots).

² *See Royal Caribbean v. PRPA*, 973 F.2d 8 (1st Cir. 1992).

2016). The *Grajales* court --relying on a “refined” arm-of-the-state analysis *and focusing on the specific facts of an employment discrimination claim*—ruled that PRPA was not an arm in that case. Yet, despite reaching that decision, it also questioned whether a hybrid entity like PRPA, which performs some governmental functions and other proprietary functions, could be an arm for purposes of legal actions that targeted its governmental functions. *See Grajales*, at 20 fn. 9. This issue of first impression was not before the First Circuit Court in *Grajales*. But, as stated above, it now is.

Notably, the First Circuit’s curiosity as to the possibility of Eleventh Amendment hybrid entities relates to the Supreme Court having reserved the question of whether state instrumentalities could “qualify as ‘arms of the state’ for some purposes but not others” in *Regents of the University of California v. Doe*, 519 U.S. 425 (1997). *See Grajales*, at 20 fn. 9.

Here, Toyota is seeking to recover damages from PRPA arising out of a purely governmental function: PRPA’s implementation of a cargo scanning program that stems from Act 12-2008’s statutory mandate to, *inter alia*, strengthen national security and increase the Commonwealth’s ability to collect taxes. Further, that law was enacted to adopt port security mandates of the U.S. Congress. If the First Circuit decides that PRPA is a hybrid entity, entitled to arm-of-the-state immunity, Toyota will be precluded from seeking damages from it.

WHEREFORE, PRPA very respectfully requests that the Commission dismiss the present case in its entirety, for the reasons set forth above.

Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys and participants of record: (a) counsel for **Toyota de Puerto Rico Corp.** - Rafael Escalera Rodriguez, Esq. (escalera@reichardescalera.com), Sylvia M. Arizmendi, Esq. (arizmendis@reichardescalera.com), Alan M. Vizcarrondo Santana, Esq.

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(b) counsel for **Crowley Puerto Rico Services, Inc.** – Marc J. Fink, Esq. (mfink@cozen.com),
Wayne R. Rohde, Esq. (wrohde@cozen.com) and Matthew Howell, Esq. (mhowell@cozen.com);
and (c) counsel for **Oceanic General Agency Inc.** – Henry P. Gonzalez (gonzalez@gdvlegal.com)
and Jose E. Alfaro Delgado (josealfaro@yahoo.com).

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 13th day of March, 2019.

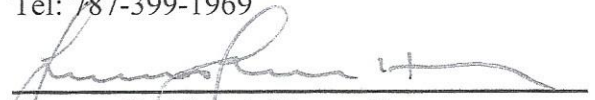
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